Dynamic Pricing Strategy in Ride-Hailing: A Growth vs Retention Decision Case

Background

A leading ride-hailing platform operating across Mumbai, Bangalore, and Delhi is facing a strategic pricing inflection point. Over the last two quarters, dynamic surge pricing has contributed to a 9% increase in topline revenue. However, the same period has seen a 14% decline in customer satisfaction, higher cancellation rates, and early indications of customer churn.

With a Series D fundraise planned within the next 18 months, leadership must demonstrate not just revenue growth, but sustainable unit economics, customer retention, and long-term business quality. The executive team has engaged the strategy and analytics function to assess whether the current pricing model is maximizing enterprise value—or creating hidden structural risk.

As part of the strategy and analytics team, your mandate is to diagnose the pricing problem and recommend a commercially viable pricing strategy.

Dataset

The analysis will be conducted using a purpose-built trip-level dataset representing ride-hailing activity across Mumbai, Bangalore, and Delhi over a full calendar year (50,000 records).

Available data includes:

Operational Data: trip timestamps, route information, city, zone type, distance, ride completion status, surge multiplier, fare

Customer Data: customer segment, loyalty tier, days since last ride, churn risk indicators, satisfaction scores

Financial Data: driver payout, platform revenue, take rate, trip costs, contribution margin, CAC

External Variables: weather conditions including precipitation, visibility, humidity, and temperature

The dataset requires preprocessing, cleaning, and feature engineering before analysis.

Core Business Question

What pricing strategy maximizes long-term enterprise value while balancing revenue growth, contribution profitability, customer retention, and competitive positioning?

Specifically, you must determine the surge pricing thresholds at which incremental revenue gains begin to erode customer trust, retention, and long-term economic value.

Workstream 1 — Demand Suppression and Customer Response Analysis

Identify the city, zone, and time-window combinations where surge pricing is associated with measurable deterioration in customer behavior.

This includes:

- increased cancellations
- reduced ride completion rates
- worsening satisfaction scores
- elevated churn indicators

The analysis should distinguish normal demand fluctuations from pricing-driven behavioral deterioration using comparable baseline conditions.

Workstream 2 — Demand Sensitivity and Pricing Elasticity Assessment

Estimate demand sensitivity to fare increases across customer segments, zone types, and operating conditions.

Specifically, assess how ride demand responds to surge-driven fare increases across:

- residential, commercial, and transit zones
- peak vs off-peak periods
- weekday vs weekend conditions

Where relevant, control for observable external factors such as weather conditions.

All assumptions, methodology, and limitations must be clearly stated.

Workstream 3 — Unit Economics and Customer Lifetime Value Stress Test

Assess whether surge pricing improves contribution profitability after accounting for customer attrition risk.

The analysis should:

- compare contribution margins across surge bands
- assess CAC sensitivity under rising churn
- estimate breakeven churn thresholds
- evaluate LTV/CAC implications under alternative pricing assumptions

The objective is to determine whether surge pricing creates economically durable growth—or short-term revenue inflation.

Workstream 4 — Pricing Strategy Scenario Simulation

Develop scenario-based pricing simulations to evaluate the commercial impact of alternative surge pricing policies.

Simulations should assess:

- ride demand impact
- revenue outcomes
- contribution margin outcomes
- retention risk indicators

The objective is to identify commercially viable pricing thresholds by segment, balancing profitability with customer sustainability.

Strategic Decision Context

The final recommendation should reflect executive decision-making standards. Analytical outputs must be translated into commercially actionable strategy that can withstand scrutiny from leadership, investors, and competitive market dynamics.

Competitive market assessment:

Assess the competitive structure of the Indian ride-hailing market and evaluate how competitors may respond to alternative pricing strategies.

Consider:

- competitive rivalry
- customer switching behavior
- substitute transport options
- pricing defensibility

Strategic Options:

You must evaluate the following strategic pathways and recommend the most commercially viable option.

Each option should be assessed across:

- projected revenue impact
- contribution margin implications
- customer retention and satisfaction risk
- competitive response likelihood
- implementation complexity
- investor attractiveness

Three strategic options to evaluate:

Option 1 — Calibrated Optimization of Existing Dynamic Pricing

Maintain the current surge pricing framework with moderate calibration adjustments to reduce excessive pricing volatility.

Option 2 — Segmented Surge Governance by Zone Type

Introduce differentiated surge caps across residential, commercial, and transit-heavy zones.

Option 3 — Retention-Focused Pricing Protection for High-Value Riders

Introduce loyalty-based surge protection for high-frequency and high-value customer segments.

Deliverables

1. Data Analysis Demand patterns by zone, time segment, fare level, weather condition, and surge multiplier built in Python or SQL. Findings must be supported with charts or summary tables and accompanied by business interpretation, not just output.

2. Elasticity Summary A structured analysis of fare versus demand trends across zone types and time segments. Methodology, assumptions, and limitations must be explicitly stated alongside the estimates.

3. Unit Economics Workbook An Excel workbook covering contribution margin per trip by surge level, a simplified LTV/CAC analysis, churn sensitivity analysis, and the breakeven churn rate calculation.

4. Revenue and Margin Simulation An Excel simulation showing ride demand, revenue, and contribution margin outcomes under multiple surge pricing scenarios across at least two zone types.

5. Strategy Deck A consulting-style presentation covering the Porter's Five Forces analysis, a comparison of the three strategic options, the investor and financial narrative, a final recommendation, and proposed implementation considerations.

(The strategy deck must not exceed 10 slides excluding appendix. The recommended structure is:

1. **Situation Summary** — the business problem and highest-level findings in 3 lines
2. **Porter's Five Forces** — India-specific, one insight per force
3. **Key Analytical Findings** — 3 to 4 numbers from the other deliverables that the recommendation rests on
4. **Strategic Options Comparison** — 3 strategic options across 4 evaluation dimensions in a table
5. **Recommendation** — what, where, why, with numbers
6. **Investor and Financial Narrative** — three metrics, three directional statements, 18-month horizon
7. **Implementation Considerations** — what needs to happen, key risks, mitigations
8. **Appendix** — supporting visuals and references)

Evaluation Criteria

Submissions will be assessed on:

Analytical Rigor & Data Interpretation	30%
Financial Reasoning & Unit Economics	25%
Strategic Commercial Judgement	20%
Feasibility & Implementation Practicality	15%
Executive Communication & Storytelling	10%

Individual Participation Requirement

This is an individual submission. All analysis, modeling, assumptions, simulations, strategic recommendations, and presentation materials must be independently developed by the participant.

Use of external references for industry understanding and conceptual research is permitted. However, direct replication of existing analyses, models, or presentation content is not allowed.

Participants are expected to clearly document assumptions, methodology,references and business reasoning throughout the submission.

Dataset link- Consult & Analytics